

the hall to fill. CEOs and CIOs (chief investment officers) of mutual funds were there as were some other senior finance professionals. Talk turned to medical cover and I went around the room asking how many people had their own cover, not the one given by the company, but their own. Shamefacedly they all admitted that they were meaning to get one, but had been stalling it. Sure, some of them are rich enough not to need a cover, but they said, it has been on their must-buy list, but they somehow never got around to it.

What is a medical cover?

Each time we go to the doctor for a viral fever, we don't really think of the cost too much. The fee is affordable because we choose our doctors given our own spending power. The prescription medicines he gives also don't break the monthly budget. But when you have something more serious, like a surgery for a liver infection or a heart attack or a knee replacement, the costs can be significant.

One way to pay for these costs is to dip into your savings. We do hoard money in our bank deposits to take care of just such an emergency, don't we? But if we transfer this risk to somebody else for a small fee, then we don't need to dip into our investments. This transfer of the risk happens when you buy a medical insurance plan where, for the price of a premium, you buy a much larger 'cover' or insurance. You get refunded for what you spend and do not get the entire cover you have. If you have a Rs 5-lakh cover policy and your hospital bill comes to Rs 2 lakhs, you should get a refund of Rs 2 lakhs.

Getting a good medical cover is probably more important than buying life insurance – you're more likely to go to hospital with an illness or accident than die. But identifying this 'good' policy is so difficult.

Consider this: There are twenty-three companies that offer you a medical cover. Each company has at least ten policy choices. Each policy has further options you need to choose from. In terms of time, were you to read through all the brochures and details of all the products in the market, it would take forever. The scale of the problem freezes us. Remember, the problem is big; we are not stupid.